

US CPI Forecast Note — August 2026

Headline CPI, month-over-month %. Prepared 11 September 2026. Model: point-in-time ridge + LightGBM ensemble (backtested RMSE $\approx$ 0.17pp).

Forecaster	Aug 2026 MoM
Our model (ensemble)	+0.46%
Blend (our model + Cleveland Fed)	+0.41%
Street consensus	+0.40%
Cleveland Fed nowcast	+0.36%
Naive (repeat July)	+0.07%

68% band on our model: +0.28% to +0.63% (± 1 backtested RMSE).

Analysis

Above or below average? Clearly **above**. The forecast ($\sim$ +0.46%) exceeds the long-run monthly average of +0.21% and the recent (2015–) average of +0.25%, and stands far above July's +0.07%. This is a firm, above-trend month, not a soft one.

What is driving it? Energy. Gasoline rose +3.2% and crude +4.1% over the month, with a softer dollar (-1.4%) adding at the margin. This real-time energy rebound is exactly the signal the naive baseline misses, and it is why the model prints so far above July. Relative to the street consensus of +0.40%, our model sits slightly above it (blend +0.41%, essentially at consensus). Given the model's thin measured edge over a well-informed consensus, we read the surprise risk as modest and tilted to the upside — low conviction on direction, higher conviction on the level.

Bottom line: a firm, above-average August CPI near **+0.41%** (range $\sim$ +0.28% to +0.63%), roughly in line with consensus with a mild upside tilt, led by the August energy rebound.

Caveat: a systematic multi-month edge, not single-print precision; professional consensus ($\sim$ 0.12pp) is tighter. The market reaction depends on the print relative to consensus, where the model's directional edge is limited.